ASML Holding N.V. (ASML)

Unassailable Monopoly

Analyst: Justin Wen

*Unassailable Monopoly. ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match. AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand. Price Demands Perfection. At $1,642 [Mkt 16-Oct-26], the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,415 base target implies 13.8% downside. Exceptional business, demanding price. Our framework screens it as a **Hold** with a $1,442.46 blended target, 12% below the current price.*

HOLD	$1,442.46	-12%	$1,641.52
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Unassailable Monopoly. ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match.

Executive summary

AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand.

Price Demands Perfection. At $1,642 [Mkt 16-Oct-26], the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,415 base target implies 13.8% downside. Exceptional business, demanding price.

€11.66B	57.5%	€4.96B	€3.29B	€12.7B	113
REVENUE (Q3)	GROSS MARGIN	NET INCOME	INSTALLED BASE MGMT	CASH & INVESTMENTS	NEW SYSTEMS SOLD

The moat is structural

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

Three scenarios make the valuation range explicit

The DCF values ASML Holding N.V. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$1,160.65**	-29%
Base	50%	**$1,414.67**	-14%
Bull	25%	**$1,779.85**	+8%

Bear ($1,160.65, -29%): Growth disappoints and multiples compress; the $1,160.65 target marks the downside case.

Bull ($1,779.85, +8%): Execution compounds and the multiple rerates; the $1,779.85 target marks the upside case.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The probability-blended target implies -12% upside

Blended target: $1,442.46 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -12% upside from the $1,641.52 reference price.

$1,442.46

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 26.2x [Mkt 16-Oct-26] EV/EBITDA 28x [Mkt 16-Oct-26] FCF Yield ~4.4% [Mkt 16-Oct-26] Multiples assume flawless execution; cash yield alone does not compensate.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,442.46 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV) [8-K guid]

Memory capex: 75% growth guided for 2026 on HBM/AI demand [8-K guid]

Installed Base Management compounding at ~50% growth [8-K guid]

What to monitor

Jan 2027. Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

2027-2028. High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/Intel.

Ongoing. China Export Policy (Two-Sided): Further DUV restrictions would remove ~20% revenue exposure.

€11.66B	57.5%	€4.96B	€3.29B
REVENUE (Q3)	GROSS MARGIN	NET INCOME	INSTALLED BASE MGMT

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Key risks

China Export Controls. Tightening restrictions on DUV lithography exports threaten approximately 20% of revenue tied to Chinese fabs. [10-K FY25]

Semiconductor Cyclicality. WFE spending is inherently cyclical; a downturn in memory or logic capex would hit bookings with a 12-18 month lead time. [10-K FY25]

Customer Concentration. A handful of foundries (TSMC, Samsung, Intel) drive the majority of system sales, concentrating demand risk. [10-K FY25]

Investment view

A pullback toward our $1,415 base case would flip Valuation from a drag to neutral and likely lift the composite into the mid-70s. Conversely, any High-NA delay or China revenue loss would cut Forward Growth and Catalysts simultaneously.

Hold. The $1,442.46 blended target implies -12% upside, balancing the $1,160.65 / $1,414.67 / $1,779.85 Bear / Base / Bull targets.

Memory capex: 75% growth guided for 2026 on HBM/AI demand [8-K guid]

Installed Base Management compounding at ~50% growth [8-K guid]

Upcoming catalysts

Jan 2027. Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

2027-2028. High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/Intel.

Ongoing. China Export Policy (Two-Sided): Further DUV restrictions would remove ~20% revenue exposure.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.